Taxable and exempt benefits

Content

B Income tax and NIC liabilities

2. Income from employment

f) Explain the PAYE system, how benefits can be payrolled, and the purpose of form P11D.

g) Explain and compute the amount of benefits assessable

h) Recognise the circumstances in which real time reporting late filing penalties will be imposed on an employer and the amount of penalty which is charged.

1. General rule

Employee may receive non-monetary benefit from employer.

If employee can show the use of benefit was wholly, exclusively and necessarily in the performance of the duties of employment, there is no assessable benefit arise.

Otherwise, the benefit is taxable.

Attention:

- Contributions made by the employee: could be deducted from benefit (Except private fuel benefit)
- Time-apportion: when benefit is only available for part of the tax year

2. Vouchers and credit card

- **Monetary vouchers**

  Taxable benefit = face value of the voucher

- **Non-monetary vouchers: vouchers are exchangeable for goods or services**

  Taxable benefit = cost to the employer of providing the voucher

- **Company Credit card**

  Taxable benefit = amount charged to the card (excluding any interest or card fees)

3. Private use of employer's assets

Taxable benefit is calculated as higher of (Time-apportion):

- 20% × MV when asset is first provided to any employee
- Rent employer paid for asset

Any contributions made by the employee for private use are deducted from benefit.

4. Gift of employer's assets

Taxable benefit is calculated as higher of (No time apportion):

- MV when given
- MV when first provided by employer － use of employer's assets benefits accumulated amounts

Any contributions made by the employee when gift are deducted from benefit.

Lecture example 1

Andy is an employee of ABC Ltd. The company gave use of apple watch to him on 6 October 2023 when its market value was £1,000. On 1 January 2026 the company gifted the watch to Andy, when its market value was £600.

Calculate assessable benefits for Andy in 2023-24, 2024-25 and 2025-26.

5. Accommodation

5.1 Job-related accommodation

No taxable benefit.

Definition of job-related accommodation

- **Necessary** for working
- **Security** of employee
- **Customary** in industry

5. Accommodation

5.2 Not job-related accommodation

Taxable benefit = General charge(must be) + Additional charge (maybe)

① General charge (Time-apportion):

Higher of

- Annual value (rateable value)
- Rent paid by the employer (if any)

Reduced by any rent paid by the employee.

5. Accommodation

② If (Original cost + Improvement cost before start of tax year) ＞ £75,000

Additional charge (Time-apportion)：

(Cost - £75,000) × Official interest rate (3.75%）

Cost = cost of purchase + Improvement cost made before the tax year

If employer owned the property for more than 6 years before first made available to any employee:

Cost = MV at first made available to employee + Improvement cost incurred between the start of the tax year and date of first providing

The additional benefit cannot be charged where the accommodation is rented.

23.1.1 cost of purchase A >75000

23.7.1 improvement cost B

24.7.1 improvement cost C

25.1.1 该员工第一次入住日 MV=D

(Cost - £75,000) × Official interest rate (3.75%)

Cost = cost of purchase + Improvement cost made before the tax year

13.1.1 cost of purchase A >75000

23.7.1 improvement cost B

24.7.1 improvement cost C

25.1.1 该员工第一次入住日 MV=D

26.2.1 improvement cost E

(Cost - £75,000) × Official interest rate (3.75%)

Cost = MV at first made available to employee + Improvement cost incurred between the start of the tax year and date of first providing

少女法则二： Capital revenue 法则 ★

Distinguish Capital expenditure& Revenue expenditure:

Capital expenditure:

Usable: Initial installation, legal fee at acquisition

Nature: Subsequent improvement cost: e.g. extension,construction of a new wall to split one Room into two, etc

Enhancement / improvement expenditure

Revenue expenditure:

Subsequent repairs, decoration, redecoration

Lecture example 2

Karl was provided with a company house since 1 November 2025.

The rateable value of this house is £1,200. This house cost her employer £100,000 in 2014 but was valued £150,000 on 1 November 2025 which was first provided to the employee. The rent paid by Karl was £50 monthly. The company expand this property's garden in the end of the 2025 and it costs £2,000.

Calculate the assessable benefit for Karl in 2025-26.

6. Accommodation living expenses

Employee will also be taxed on related expenses paid by the employer in connected with living accommodation.

Living expenses of an accommodation which is not job-related.

	Taxable Benefit
Heating, lighting and cleaning	cost to employer
Repairing, maintaining or decorating the premises	cost to employer
Furniture and other goods normal for domestic occupation	20%×MV

Living expenses of an accommodation which is job-related：

Maximum taxable benefit = 10% × Net earnings

Net earnings =Monetary earnings + Other benefits – Allowable deduction

Lecture example 3

Maggie lives in an accommodation provided by her employer, and her salary is £7,000 per annum.

The accommodation was first made available to her on 6 August 2025. It has an annual value of £8,000 and it cost her employer £225,000 in 2013. Its market value in August 2025 was £375,000.

Household expenses of £1,800 are paid by her employer and she has other benefits totaling £2,000.

Calculate the assessable benefit for Maggie's accommodation and the living expenses for 2025-26.

(a) the accommodation is job related

(b) the accommodation is not job related

7. Cars

Taxable benefit=Rate × (List price – Employee’s capital contribution) × Time apportion – Employee’s contribution for private use

7. Cars

About rate:

- Electric cars with zero CO2 emissions: 3%
- Hybrid cars with CO_2 emissions between 1 and 50 grams per kilometre:

Electric range	Rate (%)
130 miles or more	3%
70 to 129 miles	6%
40 to 69 miles	9%
30 to 39 miles	13%
Less than 30 miles	15%

7. Cars

- Petrol cars and diesel cars meeting the real driving emissions 2 (RDE2) standard:

CO_2 emission (grams per kilometre)	Rate (%)
51-54	16%
55	17%
> 55	+1% for every +5g/km

- Diesel cars which do not meet the real driving emissions 2 (RDE2) standard: 4% surcharge to above
- All car: The maximum rate (%) is 37%

7. Cars

- List price is provided by HMRC.
- The maximum employee's capital contribution is £5,000.
- Other expenses such as repairs, insurance, vehicle licenses and a parking space at or near work paid by employer is not taxable benefit.
- Cost of providing a driver (chauffeur) is taxable benefit
- Gift of car: MV when given － employee's contribution when given

Lecture example 4

Alin is a director of HL plc. On 1 October 2025. HL plc provided a new diesel-powered company car to him. The car does not meet the RDE2 standard. The list price of that car is £33,500 and an official CO_2 emission rate of 128 grams per kilometer.

Chris is sales manager of HL plc. He was provided with a hybrid car throughout the tax year 2025/26. The car has a list price of £28,900, an official CO2 emission rate of 20 grams per kilometre and an electric range of 80 miles.

Calculate Alin's and Chris's taxable benefit of the car provided by HL plc for 2025-26.

Lecture example 5

Betty was provided with a new petrol-powered car throughout the tax year 2025-26 by ECJ plc. ECJ plc purchased the car for £21,000 and Betty was required to contribute £3,000 towards the purchase cost. The car has a list price of £22,600 and an official CO_2 emission rate of 214 g/km. Betty paid the company £1,200 during the tax year 2025-26 for the private use of the car.

Calculate Betty's taxable benefit of the car provided by ECJ plc for 2025-26.

8. Fuel for cars

Taxable fuel benefit = Rate (%) × £28,200 × Time Apportion

- The rate is the percentage which is used to calculate the car benefit.
- If the employee pays for all private fuel, there is no taxable fuel benefit.
- There is no reduction in assessable fuel benefit for partial refunds made by employee for private cost of fuel.

Lecture example 6

Joan was employed as sales manager of Wilt Ltd from 1 April 2025, he was provided by the company with a petrol-powered car with a list price of £15,000. The car CO2 emission is 124g/km. The company paid for all petrol, costing £1,500. 30% of fuel is used for non-business journey. Joan paid the firm £270 for the private use of the car.

(a) Calculate the taxable benefits for private use of the car and private fuel for 2025-26.

(b) What if the £270 has been towards the petrol fuel?

9. Vans and fuel for vans

9.1 Vans (Time-apportion)

£4,020 a year for private use of van.

9.2 Van fuel (Time-apportion)

£769 a year for private fuel.

9.3 Zero emission van

Private use of vans producing zero CO_2 emissions have a zero benefit charge on van and van fuels.

10. Beneficial loans

	£
Loan amount by HMRC×official interest rate (3.75%)	X
Less: interest actually paid	(X)
Taxable benefit	X

- Two methods to calculate the loan amount by HMRC.
  - Normal (Average) method: (Opening balance + Closing balance) × 1/2×m/12
  - Alternative (Strict) method: On a monthly basis
- The taxpayer could make the election of two methods.
- If amount of all loans provided to employee is ≤£10,000 then is exempt.

Lecture example 7

Sam is manager of S Ltd. He was granted a loan of £100,000 by his employer on 31 March 2025, to help finance the purchase of a house. Interest is payable on the loan at 1% per annum.

On 1 June 2025, Sam repaid £15,000 and on 1 December 2025, he repaid further £15,000. The remaining £70,000 was still outstanding on 5 April 2026.

Calculate the taxable benefit for the tax year 2025-26.

11. Exempt benefits

- Canteen, sport and recreational facilities available to all staff
- Parking facilities at or near place of work
- Workplace nurseries
- Qualifying removal expenses up to £8,000
- A bicycle and first mobile phone provided by the employer
- Contributions by an employer to an approved pension scheme
- Employee who works from home: Weekly tax-free allowance of £6

11. Exempt benefits

- Medical insurance: overseas work (exempt) & UK work (taxable benefit: cost to employer)
- Medical treatment to assist the employee in their return to work after ill-heath or injury lasting at least 28 days: up to £500 for each employee
- Trivial benefits such as flower, costing up to £50 per employee per tax year (not cash or cash voucher)
- Incidental expenses by employer when employee is away from home for work. £5/night in UK and £10/night if overseas (If exceeds whole amount is taxable).
- Long service awards: £50 for each year of service of 20 years or more
- Parties for staff: £150 per person per year

12. The PAYE system

The PAYE system is an important tool for HMRC to collect income tax, national insurance contributions and taxable non-cash benefits correctly. The employer reports PAYE information to HMRC through the Real Time Information (RTI) system.

12.1 Employer's duties

- Deduct the correct tax from employee’s pay.
- Work out how much NIC needs to deduct.
- Keep a record of pay and deductions.
- Pay tax/NIC over on the due date.
- Sent relevant returns to HMRC when required.

12. The PAYE system

12.2 PAYE codes

Employee’s tax code is used to put into the payroll software to work out how much tax to deduct from employee’s pay throughout the year.

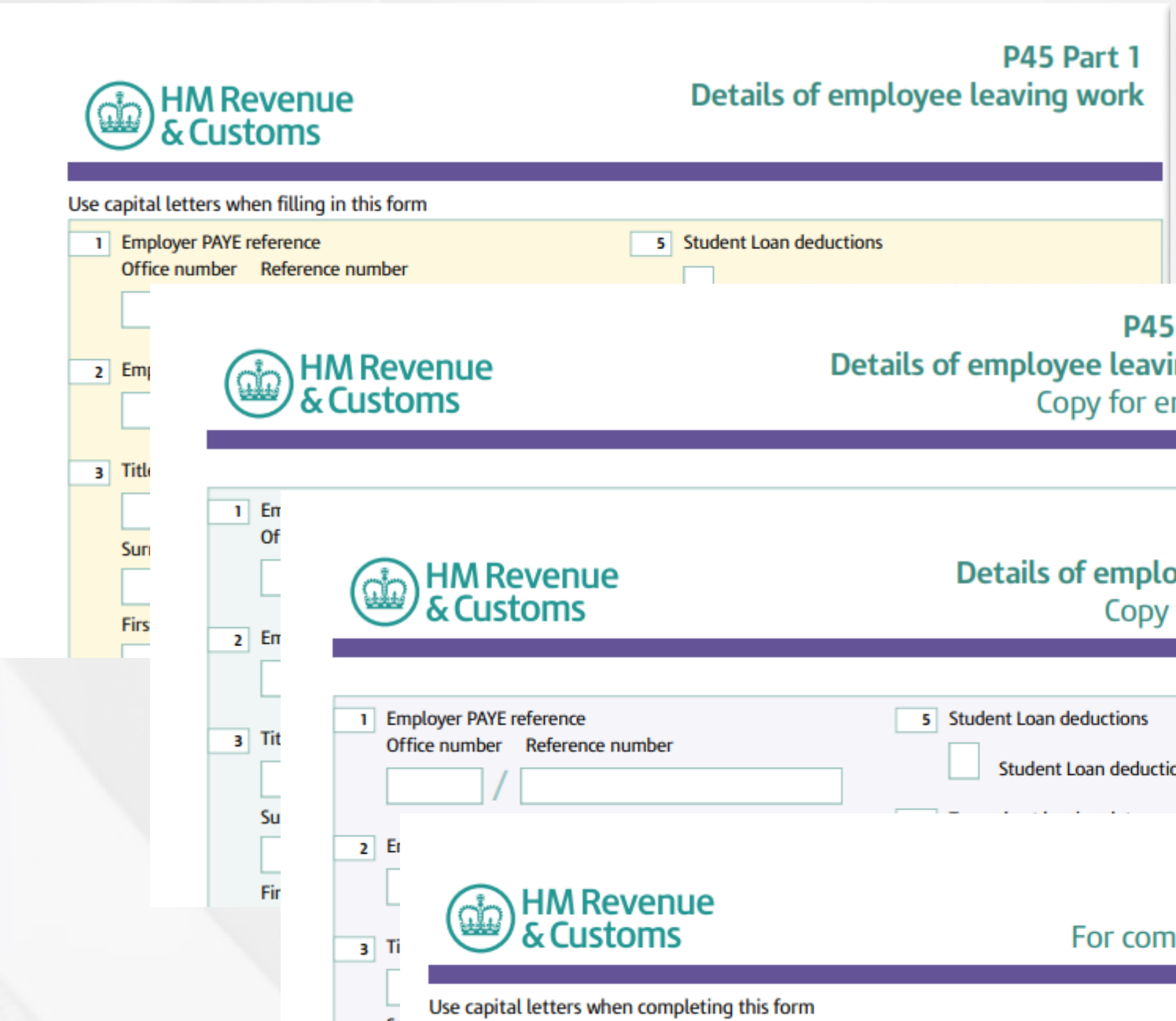
1257L

It’s used for most people with one job and no other untaxed income.

They entitled to the full personal allowance.

12. The PAYE system

	Outline and Information	Date Provided to Employee
P60	Employee's total taxable earnings for the year, code number, NI number, tax deducted and the employer's name and address.	Provide to employees by 31 May following the year of assessment
P11D	Employee's taxable benefits for the year	Provided to employees and HMRC by 6 July following the year of assessment
P45	Employee's taxable earnings, income tax and NIC deducted, tax code up to the date of leaving.	Provided immediately following the cessation of employment. A P45 has 4 parts (Part 1, Part 1A, Part 2 and Part 3) Part 1 is sent to HMRC by the old employer. Part 1A is the employee's personal copy. The employee must give part 2 and 3 to the new employer.


HM Revenue & Customs
P45 Part 1
Details of employee leaving work
Use capital letters when filling in this form
1 Employer PAYE reference
Office number Reference number
5 Student Loan deductions
HM Revenue & Customs
P45 Part 1A
Details of employee leaving work
Copy for employee
HM Revenue & Customs
P45 Part 2
Details of employee leaving work
Copy for new employer
1 Employer PAYE reference
Office number Reference number
5 Student Loan deductions
Student Loan deductions to continue
HM Revenue & Customs
P45 Part 3
New employee details
For completion by new employer
Use capital letters when completing this form

12. The PAYE system

12.4 Penalties for making late returns

- The first late filing of the tax year is ignored
- Subsequent late submissions will be subject to a fine based on the number of employees.

Number of employee	Monthly (£)
1-9	100
10-49	200
50-249	300
> 250	400
Over 3 months: additional 5% of the tax and NIC due.	

脉络锚定 · 脑图延伸

Practice(do by yourself first)

Practice

William was born in 1990. He is employed by Crown plc.

During the tax year 2025-26 William was paid a gross annual salary of £174,035.

Throughout the tax year 2025-26 Crown plc provided William with a petrol-powered motor car which has a list price of £83,100. The motor car cost Crown plc £78,800, and it has an official CO 2 emission rate of 188 grams per kilometer. Crown plc also provided William with fuel for private journeys. During the tax year 2025-26 William made contributions of £8,000 to Crown plc in respect of the motor car. This consisted of £4,800 for the use of the motor car, and £3,200 towards the cost of fuel for private journeys. The total cost of the fuel for private journeys was £4,400.

Practice

Required

- Calculate the income tax liabilities for the tax year 2025-26
- Explain to William, with supporting calculations, how his income tax liabilities for the tax year 2025-26 would have been reduced if:

William's contributions of £8,000 to Crown plc in respect of the company motor car for the tax year 2025-26 had been allocated on a more beneficial basis.

Practice - A

		£
Employment income		
- salary		174,035
- car benefit (W1)		25,947
- fuel benefit (W2)		10,434
		210,416
Tax liability	37700 × 20%	
	(125,140 - 37700) ×40%	
	(210416 – 125140) × 45%	

W1: Car benefit

% = (185-55) /5 +17% = 37%

car benefit = 37% ×list price - use of the car

= 37% × 83,100 -4,800 = 25,947

W2: Fuel benefit (total fuel cost = 4,400)

employee paid ：	3,200
37% × 28,200	= 10,434

Practice - A

方案1：

8,000 Fuel : 4,400 → Fuel benefit = 0 ↓10,434

use of the car : 3,600 →car benefit ↑(4,800-3,600) = 1,200

方案2：

8,000 Fuel : 0 → Fuel benefit 不变

use of the car : 8,000 → car benefit ↓（8,000 - 4,800）= 3,200

10,434- 1,200 = 9234 × 45% → saving tax

Quizzes(self-practice)

Quiz 1

Anton's employer purchased a house in 2023 for £200,000. Capital improvements of £15,000 were made in 2024. Anton moved into the house on 3 January 2025, when the value of the house was £240,000, although the accommodation is not job-related. The house has an annual rateable value of £1,500. Anton is required to pay rent of £130 a month.

What is the assessable benefit for Anton for the tax year 2025-26, assuming the official rate of interest at 6 April 2025 is 3.75%?

A.£4,650
B.£4,753
C.£5,190
D.£5,653

Quiz 1-A

The correct answer is **C**.

Annual value	1,500
Additional benefit	
3.75% × £(200,000 + 15,000 − 75,000)	5,250
Less: contributions by Anton (12 × £130)	(1,560)
Taxable benefit	5,190

Quiz 2

Milo had the use of a television provided by his employer. The television cost the employer £2,300 when it was purchased on 30 September 2023. It had a market value of £1,900 when first provided to Milo on 6 April 2024. The employer decided to sell Milo the television for £200 on 30 June 2025, at which time the market value was £500.

What is Milo's taxable benefit in the tax year 2025-26?

A.£1,225
B.£1,320
C.£1,520
D.£1,425

Quiz 2-A

The correct answer is **B**.

Use of asset and subsequent transfer		£	£
2024-25 £1,900 × 20%			380
2025-26 £1,900 × 20% × 3/12			95
			475
2025-26	Transfer benefit (working)	1,425	
	Less: contribution from employee	(200)	1,225
Total benefit in 2025-26 (1,225 + 95)			1,320

Quiz 2-A

Benefit on transfer of asset – greater of:	£
•Market value when gifted	500
•Market value when first made available	1,900
Less: annual use benefits assessed to date	(475)
	1,425

Quiz 3

Koin Ltd has 100 employees, and was one month late in submitting the Real Time Information (RTI) return for January 2026. This was the second time in the tax year that Koin Ltd had been late submitting an RTI return.

What penalty will Koin Ltd be liable to for the late submission of the January 2026 RTI return?

A.£100
B.£200
C.£400
D.£300

Quiz 3-A

The correct answer is **D**.
No charge will arise on the first late RTI submission by Koin Ltd. As the January 2025 is the second late submission, and Koin Ltd has 100 employees, the penalty will be £300.



谢谢观看

THANK FOR WATCHING